Home Purchase Financial Guide: Q&A Reference Manual

Q: What is the ideal down payment for a home, and what happens if I pay less?

A: The traditional benchmark is 20% of the purchase price. Paying less than 20% typically requires you to pay Private Mortgage Insurance (PMI), which protects the lender but increases your monthly cash outlay without building equity.

Q: What is the difference between a fixed-rate and an adjustable-rate mortgage (ARM)?

A: A fixed-rate mortgage maintains the same interest rate for the entire life of the loan (e.g., 15 or 30 years), ensuring predictable payments. An ARM offers a lower initial rate for a set period (e.g., 5 years), after which the rate adjusts periodically based on market indexes, exposing the buyer to interest rate risk.

Q: What hidden costs should a buyer budget for beyond the purchase price?

A: Buyers must account for closing costs (2%-5% of the loan amount), property taxes, homeowners insurance, private mortgage insurance (if applicable), Homeowners Association (HOA) fees, maintenance reserves (1%-2% of the home's value annually), and moving expenses.

Q: How does a debt-to-income (DTI) ratio affect mortgage qualification?

A: Lenders use DTI to measure your ability to manage monthly payments. The front-end ratio (housing costs only) should ideally be under 28%, while the back-end ratio (all monthly debt obligations combined) should generally not exceed 36% to 43% for conventional loans.

Q: What is an escrow account, and how does it function?

A: An escrow account is a neutral holding account managed by the lender. A portion of your monthly mortgage payment is deposited into escrow to ensure funds are available to pay annual property taxes and homeowners insurance premiums when they come due.